GROWING PROSPERITY AND DIETARY SHIFTS

Data on household consumption expenditure show that the share of food in overall consumption has been declining during the last decade, but at a milder pace than the significant relative increase in food prices. This suggests that demand is relatively less elastic to price changes. Despite the decline in overall consumption share, per capita food consumption in real terms has increased, particularly in rural areas. There has also been a distinct shift in dietary patterns towards protein-rich items and other high value foods. These items, in turn, have been contributing significantly to overall food price increases in the recent period.

OTHER POSSIBLE CAUSES OF HIGH FOOD PRICE INFLATION

A. MINIMUM SUPPORT PRICE

One obvious cause for higher food price inflation that analysts have pointed to is higher minimum support prices (MSP). The minimum support price is set by the government on the recommendations of the Commission on Agricultural Costs and Prices (CACP), based on a variety of factors including primarily the cost of production and price trends in the market (domestic and international). The crops covered under MSP scheme constitute more than a third of the category 'primary articles' in the WPI. Since minimum support prices are intended to be a floor for market prices, and have sometimes directly set the market price when increases have been substantial, for key crops the rate of price inflation seems to relate to the increase in MSP in recent years.

Another way of saying this is that there has been a shift in the relative price of agricultural commodities, engineered by the rise in MSPs. If the idea is to get more food production to meet the rising demand we documented, this seems to be just what is needed. If we